

Workshop 2 — Attendee Materials

COST TAXONOMY & BASELINE MODEL

VERSION 1.0

Your reference and working sheet for Workshop 2. Bring it to the session, either printed or open on your device. Some sections have space to capture decisions and findings as we work through them in the room. **Nothing needs to be completed in advance.**

Session Date

[DATE]

Facilitator

[FACILITATOR]



What We Are Doing Today

Workshop 2 is where we start building the cost model. By the end of this session, we will have a baseline model skeleton ready to populate as the remaining data comes in.

1

Agree on a Cost Taxonomy

A structured way of grouping spend into consistent categories.

2

Map Known Spend

Place all known spend items into the agreed taxonomy buckets.

3

Fixed vs. Variable

Identify which costs are fixed and which scale with usage.

4

Review Data Gaps

Confirm owners and dates for any outstanding data items.

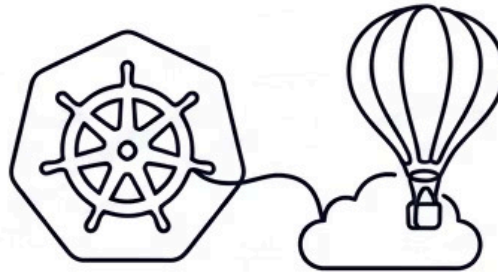
The Cost Taxonomy — Six Buckets

Every cost in scope sits in one of these six buckets. This taxonomy provides the structural backbone of the baseline model.



1. Cloud Infrastructure

Compute, storage, and network costs



2. Managed Service Fees

Cloud provider charges for managed Kubernetes services



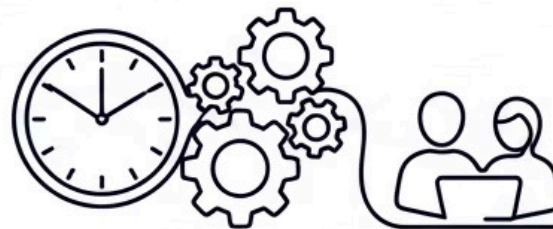
3. Platform Tooling

Observability, security, CI/CD, backup, and DR



4. Subscriptions

Platform licences and support agreements



5. Operating Effort

Platform team time, the largest hidden cost



6. Shared Services

IAM, shared network, shared logging

i Operating Effort is frequently the **largest hidden cost** — platform team time is often untracked and underestimated. Pay close attention to Bucket 5 during the session.

Section 1 — Mapping Spend

Bucket 1 — Cloud Infrastructure

Work through each item in the session. Confidence ratings: **H** = measured | **M** = estimated | **L** = rough guess

Cost Item	Platform	Source	Monthly Amount	Confidence	Fixed or Variable
Compute					
Storage					
Network / Egress					
Other					

Bucket 2 — Managed Service Fees

Cost Item	Platform	Source	Monthly Amount	Confidence	Fixed or Variable
Managed K8s fees					
Other					

☐ Notes and findings for Buckets 1 & 2: _____

Buckets 3 & 4 — Tooling and Subscriptions

Bucket 3 — Platform Tooling

Cost Item	Platform(s)	Source	Monthly Amount	Confidence	Fixed or Variable
Observability					
Security					
CI/CD					
Backup and DR					
Other					

 Duplication identified — same capability across multiple platforms: _____

Bucket 4 — Subscriptions

Cost Item	Renewal Date	Source	Monthly Amount	Confidence	Fixed or Variable
[SUBSCRIPTION]					
[SUBSCRIPTION]					
Other					

 Notes and findings for Buckets 3 & 4: _____

Bucket 5 — Operating Effort

Rough time split across activities — use percentages or hours per month. This is often the largest hidden cost in platform operations.

Team Size & Cost

Estimated platform team size: **[FTE]**

Estimated blended cost per FTE per month: **[AMOUNT OR RANGE]**

Why This Matters

Operating effort is frequently untracked. Capturing it here creates visibility into the true total cost of running the platform.

Activity	Estimated Time Split	Notes
Upgrades and patching		
Incident response and on-call		
Onboarding new teams and workloads		
Building and maintaining standards		
Other		



Notes: _____

Bucket 6 — Shared Services

Costs that serve multiple platforms or teams without clean attribution. These are often overlooked but can represent significant spend.

Cost Item	Source	Monthly Amount	Confidence	Fixed or Variable
IAM				
Shared network				
Shared logging				
Other				

Notes and findings: _____

IAM

Identity and access management shared across all platforms

Shared Network

Network infrastructure serving multiple teams

Shared Logging

Centralised log aggregation and retention

Section 2 — Baseline Summary

Complete this together at the end of the mapping exercise. This is your first-pass view of total platform spend.

Total Spend by Bucket (First Pass)

Bucket	Monthly Amount	Confidence	Notes
Cloud infrastructure			
Managed service fees			
Platform tooling			
Subscriptions			
Operating effort			
Shared services			
Total			

Fixed versus Variable Split

Category	Amount	Percentage
Fixed costs		
Variable costs		
Total		

Section 3 — Data Gaps

For each gap identified during the session, agree on an approach, confirm the owner, and set a date. Use the approach options below.

Estimate	Wait	Exclude
Use a reasonable assumption and log it in the Assumptions Register	Hold the model open until the real data arrives before Workshop 3	Agree to leave this item out of scope with a documented rationale

Data Item	Approach	Owner	Date	Notes
	Estimate / Wait / Exclude			
	Estimate / Wait / Exclude			
	Estimate / Wait / Exclude			
	Estimate / Wait / Exclude			

Section 4 & 5 — Key Findings and Notes

Key Findings So Far

Use this space to note anything that stood out during the session — numbers that surprised the group, patterns worth investigating, or early signals about where the levers are.

Findings: _____

Questions and Notes

Capture any open questions, parking lot items, or general notes from the session here.

Notes: _____

- ✔ **After This Session** — Within 24 hours you will receive a recap email covering: decisions made in the session, the updated baseline model (saved, versioned, and shared), outstanding data items to action as soon as possible, and Workshop 3 confirmed with date, time, and what to expect. The model will be updated as new data comes in before Workshop 3.

Glossary

Plain-English definitions for the key terms used throughout this workshop and the baseline model.

Term	Plain English
Cost taxonomy	A structured way of grouping technology costs into consistent categories
TBM	Technology Business Management — a standard cost classification framework
Fixed cost	A cost that does not change with usage in the short term
Variable cost	A cost that scales with usage
Baseline	The current state — what things cost today before any changes
Confidence rating	H = measured, M = estimated, L = rough guess
Operating effort	The time a platform team spends running and maintaining the platforms
Shared services	Costs that serve multiple platforms or teams without clean attribution
Data egress	The cost of moving data out of a cloud provider
Managed service fee	A charge for a managed Kubernetes service above and beyond compute cost
Tooling duplication	The same capability running separately across multiple platforms
Assumptions Register	A versioned log of every scope and cost treatment decision